

Bitcoin Brief

21 September 2026 · Independent analysis · Not investment advice

Bitcoin rose 5.8 percent on 21 September 2026 to roughly \$85,900, and the buying was forced rather than chosen. US spot bitcoin funds took in \$6.21 million in the week to 19 September, while about \$648 million of short positions were liquidated in a single day.

WHAT MOVED IT

Three things landed together, and none of them is new demand.

A moving average. Bitcoin closed the week of 20 September at \$81,159, above its 50-week average of roughly \$78,800. That was the first weekly close above that line in 45 weeks, the previous one being 9 November 2025. Every trend-following system watching that line received the same signal on the same bar.

A liquidation cascade. The signal fired into a crowded short book. Roughly \$262 million of short positions were liquidated within one hour as bitcoin crossed \$84,000, about \$219 million of that in bitcoin shorts specifically. Across the full day about \$648 million of bearish bets were wiped out. CoinDesk counted 115,490 traders liquidated and \$769.8 million in total liquidations, with shorts taking 85 percent of the damage.

Falling oil. Brent fell for a fourth consecutive session to about \$102 from a mid-September peak near \$108, the longest losing streak in three months. That pulled the US 10-year yield back below 5 percent and eased the rate pressure that had been sitting on risk assets.

Forced buying from liquidation is mechanical and self-exhausting. It stops the moment the last squeezed position closes, which makes it the least durable bid a market can have.

WHO IS BUYING

Institutions are flat, retail is shrinking, and the activity that exists has moved into borrowed money.

Measure	Latest	Read
US spot BTC fund flow, week to 19 Sep	+\$6.21M	Effectively nothing
Same funds, 15-16 Sep	-\$746M	Outflow around the Fed hike
Same funds, week to 4 Sep	+\$987M	The real inflow was three weeks ago
Global retail crypto activity, Q1 2026	\$979B, -11% YoY	Second straight quarterly fall
Stablecoin volume, Sep 2026	\$61.28B	Exceeds total spot volume

Measure	Latest	Read
Perpetual futures open interest	\$415.43B	First re-leveraging in months

The stablecoin figure matters most. Volume above total spot volume means capital is parked in dollars on exchanges rather than deployed into assets. Meanwhile perpetual open interest is building for a second straight month, so the participation that does exist is leveraged rather than spot.

The macro backdrop points the other way. The Federal Reserve raised rates on 16 September to 3.75-4.00 percent, its first increase since 2023, unanimously, with 16 of 18 policymakers projecting at least one more this year. The 10-year touched 5.04 percent, its highest since 2007. A crypto rally into a tightening cycle at a 5 percent long rate is an unusual configuration and is the largest unpriced risk here.

MOMENTUM AND LEVELS

Short timeframes are at extremes. The daily is not, once the unfinished bar is excluded.

Timeframe	RSI(14)	Reading
1 hour	85.0	Extreme overbought
4 hour	85.2	Extreme overbought
Daily, including live bar	72.8	Overbought, bar has not closed
Daily, last closed bar (20 Sep)	63.9	Has not crossed 70

RSI above 70 means overbought, stretched to the upside; below 30 means oversold. The five most recent closed daily readings run 63.9, 64.2, 63.4, 50.8 and 50.1. Charts showing a daily reading above 72 are counting today's incomplete candle.

Level	Price	Distance from spot
Spot, 21 Sep	~\$85,900	-
20-day high	\$86,355	Tagged today
50-week average	\$78,976	-8.0%
20-day average	\$78,871	-8.1%
50-day average	\$73,653	-14.2%
200-day average	\$70,580	-21.6%
52-week high	\$125,226	-31.4%
52-week low	\$57,718	+48.8%

Two points of context. Bitcoin remains **31.4 percent below its 52-week high**, so this is a recovery inside a large drawdown rather than a new high. And the 20-day and 50-week averages sit \$105 apart, making

roughly \$79,000 the first structurally meaningful level beneath the market. Daily ATR is \$2,459, or 2.86 percent of price.

THE IRAN QUESTION, CHECKED RATHER THAN ASSUMED

A popular thesis holds that sanctioned states buying bitcoin are an unrecognised source of demand. It is testable, because the wallets are public. What follows is original tracing carried out on 21 September 2026, not drawn from any published report.

The US Treasury publishes the actual bitcoin addresses of sanctioned entities in the OFAC SDN list, a 5.7MB file needing no account and no key. It currently holds 262 bitcoin addresses, and every transaction they ever made is readable on free block explorers.

Volume does rise with escalation. Shelbit, a money-changing operation designated on 7 August 2026 and tied by Treasury to an IRGC network, has two bitcoin addresses on the list. Counting only its own transaction inputs:

Month	BTC through the wallet	Change
December 2025	19.39	-
January 2026	29.32	+51%
February 2026	112.53	+284%

February 2026 is the month of the US and Israeli strikes on Tehran. Volume ran 5.8 times January. The wallet then stopped entirely on 28 February, six months before it was designated.

But nothing accumulates. Across 24 Iran-tagged addresses holding 12,448 bitcoin over their lifetimes, plus Shelbit, plus a Dubai shell called Crypto Home DMCC that moved 515 bitcoin across 27 consecutive months where monthly inflow matched outflow exactly, the balance held today is approximately zero. Not one wallet holds a position, and no traced input came from mining.

A second designated address, belonging to Siavash Kayvanpour, is an ordinary exchange deposit address: 99.1 percent of its coins left in 22 consolidation transactions with a median of 93 inputs each, the signature of an exchange sweeping customer deposits. Its activity ran June 2019 to December 2020, with nothing in 2025 or 2026.

Scale closes the argument. Iran's entire on-chain economy across all assets was \$7.78 billion in 2025, about \$21 million a day. Shelbit's record February was worth approximately \$8 million. Every measured Iranian oil-for-crypto case runs on Tether rather than bitcoin, including a forfeiture complaint filed 14 September 2026 covering 61.2 million USDT across ten Tron addresses and zero bitcoin.

Two developments genuinely cut the other way. Iran's mining hashrate fell about 71 percent this year to roughly 2 EH/s, under 1 percent of the network, so the state can no longer mint meaningful coin itself. And Tether has frozen around \$475 million of Iranian central bank stablecoin, close to everything analysts observed the bank buy in 2025. Bitcoin cannot be frozen by an issuer, which is a genuine motive to shift toward it.

The conclusion is that these wallets are conduits, and a conduit is roughly neutral on price because it acquires and spends inside the same loop. The one flow that would settle the question, bitcoin moved through the Iranian exchange BitBank in June and July 2026, was sanctioned on 17 September with no addresses published at all.

WHAT WOULD CHANGE THE READ

Turns constructive if spot fund inflows return to something like the \$987 million week seen in early September, bitcoin holds above \$81,159 for two to three weeks, and the 1-hour and 4-hour RSI reset below 60. Sustained flow behind a held level is a different picture from a squeeze.

Turns negative if price loses roughly \$79,000, where the 20-day and 50-week averages converge \$105 apart. Below that the 50-day sits at \$73,653 with nothing structural in between.

Watch the rate channel. Falling oil pulled the 10-year back under 5 percent and that was one of the three legs under this move. A renewed Middle East escalation pushes oil up and yields back above 5, which pressures bitcoin. That runs directly opposite to the sanctions-demand thesis: escalation raises Iranian crypto volume while simultaneously hurting bitcoin through rates, and the rate channel is several orders of magnitude larger.

SOURCES AND METHOD

Prices, RSI, moving averages and ATR were computed from Coinbase Exchange BTC-USD daily and hourly candles using Wilder smoothing, covering 350 daily bars from 7 October 2025. The 4-hour series was built by aggregating hourly candles, as Coinbase serves no native 4-hour granularity. RSI is given both including and excluding the unfinished bar.

On-chain tracing used the OFAC SDN list ([treasury.gov](https://www.treasury.gov)) for sanctioned addresses, Blockstream and mempool.space for full transaction histories, and WalletExplorer for service labels. Wallet volumes are attributed pro-rata to each address's own transaction inputs, not to whole transaction values, which materially reduces the figures versus a naive reading.

Flow, liquidation and sanctions figures come from CoinDesk, The Block, TRM Labs, Chainalysis, Elliptic, Hashrate Index, Coinbase Institutional research and US Treasury press releases sb0598 and sb0632.

Limits worth stating. The Shelbit escalation pattern is one address across three months, which is correlation and not a base rate; the analysis does not claim causation. Base rates computed on a single year of candles carry too few independent events to be usable and were deliberately excluded. Destination services in the tracing are unlabelled and are not identified as exchanges; only the Binance label is sourced, from WalletExplorer. Strike timing is from secondary reporting. Nothing here is a recommendation to buy or sell any asset.